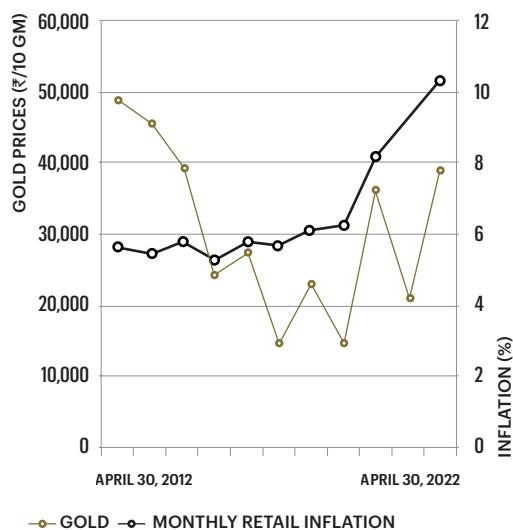


INFLATION HEDGE

Gold has a mixed track record as a safe-haven asset during times of high inflation



SOURCE CMIE ECONOMIC OUTLOOK

₹5,155

PER UNIT

REDEMPTION PRICE FOR SECOND PRE-MATURE REDEMPTION OF SERIES III OF SGB 2016-17 DUE ON MAY 17, 2022

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WHEN IT COMES TO APPETITE FOR GOLD, very few can beat Indian households. As the world's second-largest consumer, India imports more than 800 tonnes of gold every year, which is 90 per cent of its total supply. The country accounts for nearly 25 per cent of the global gold demand, next only to China. The yellow metal is so intrinsically tied to Indian culture that it sparkles in almost every celebration. Clearly, Indians are enamoured with its glitter. But one cannot ignore the hassles of buying and storing physical gold. For instance, gold jewellery's purity is not easy to ascertain, nor are its high making charges conducive for investment. Above all, paying for a bank locker when you are investing seems counter-intuitive. This is where digital gold makes its case for a spot in your portfolio.

With digital gold, you don't need to worry about its storage and purity. The underlying asset for these investment avenues is physical gold and you get returns according to its spot prices (minus charges). You can also convert digital gold into cash and buy jewellery without the hassle of deductions common with physical gold. Most importantly, you can invest smaller amounts, which is a huge attraction for investors who want to accumulate gold over a period of time.

Therefore, investment in digital gold makes sense—it's easy to buy and hold. So, if you plan to invest, here are a few nifty ways to buy digital gold. And how will gold perform in 2022? Let's take a look.

THE OUTLOOK

Returns on gold depend on three factors: international prices, rupee vs dollar exchange rate, and customs duty. Having said that, the gold outlook will depend on how the central banks plan to deal with high inflation rates. Moreover, geopolitical tensions and